

Understand the company's marketing/compensation plans thoroughly

It's not just enough to choose a product that you are passionate about to start selling. You should also make sure that the company's marketing and compensation plans sit well with you.

There are certain companies that wouldn't allow you to use their name while marketing the product. If the company's brand name is valuable, that might make selling the product that much harder. Then, some companies may not allow you to establish a website of your own for sales purposes- this might come as a hurdle for many. You should be thoroughly acquainted with such nuances in the company's various plans before you sign up for anything.

Spotting the shady deals

There are chances that you might come across scams or illegal schemes – like many pyramid schemes – in which those joining at the lowest levels would have to pay large sums of money to a limited number of people at the top.

This 'investment', initially, could be packaged in such fancy terms as 'monetary contribution' or 'startup fee.' Note that this is different from the fee for the starter kit mentioned earlier.

In addition to that, with most pyramid schemes, if you are to make money, then you would also have to recruit a whole lot of people to join the scheme. The sole intention is to get as much money as possible from you. So, always do a thorough background check before starting off.

Here are a few common signs of such scam operations:

- There are many companies out there who would buy back from you if you couldn't sell all the products or if you decide to quit. But along with a high entry fee, a company out to scam you most probably won't buy back unsold inventory.
- Making you pay a monthly fee or buy something from them periodically.
- If they don't have a reasonably extensive inventory to sell, it's almost always a sign of a scam.

On the flipside, you should also be aware that certain direct sales companies legitimately offer their consultants incentives based on the number of new consultants that they hire. However, in these cases, unlike the scam



Choosing the right product is very important